ARTIFICIAL INTELLIGENCE IN THE LEGAL PROFESSION AND THE JUDICIARY

Legal Limits of Automated Decision-Making, the Evidential Use of AI and Protection of the Right to a Fair Trial

PROFESSIONAL SCHOLARLY PAPER

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The human being makes the decision. AI extends the analysis, but it does not assume professional or judicial responsibility.

Abstract

This paper examines the use of artificial intelligence in legal practice and the judiciary as a question of professional responsibility, the law of evidence and fundamental procedural safeguards. Its central thesis is that AI can materially improve legal research, case organisation, evidential analysis and access to justice, but only where it remains subject to meaningful human control, verifiable sources, documented use and clearly allocated responsibility. The normative analysis encompasses the European Union Artificial Intelligence Act, the Council of Europe Framework Convention on Artificial Intelligence, the CEPEJ European Ethical Charter, the European Convention on Human Rights, data-protection rules and domestic principles governing lawyers' independence and confidentiality. Particular attention is given to automated decision-making, algorithmic bias, generative errors, deepfake content, chain of custody, expert evidence, access to the model and liability for damage. The practical part contains a protocol for law firms, a model for judicial use and a complete hypothetical dispute in which an insurer refuses indemnity on the basis of an AI fraud-detection system. The paper concludes by proposing a functional test for permissible use: lawful purpose, necessity, data quality, explainability, human oversight, effective contestability and an individualised decision.

Keywords: artificial intelligence, legal profession, judiciary, AI Act, fair trial, legal professional privilege, personal data, algorithmic bias, electronic evidence, deepfake.

Scholarly and Professional Contribution

The paper's original contribution is a functional model of "meaningful human control" that converts the general idea of human oversight into verifiable professional obligations: a defined purpose, an approved tool, data minimisation, a verifiable source, a log of material use, an effective opportunity to challenge the output and personal assumption of responsibility for the final decision. The model does not measure the value of AI by brand or technological novelty, but by its actual effect on rights, evidence and professional responsibility.

Its practical innovation is a dual register: a use register (who used AI, when, for what purpose and with which version) and a verification register (which sources, facts, calculations and legal propositions were independently checked before professional or judicial use). This dual record permits subsequent reconstruction without turning every routine automation into a bureaucratic burden.

Author's and Methodological Note

This is an independent professional and scholarly paper. Its primary subject is the governance of AI as a professional and institutional tool: who selects it, who controls it, what must be documented and who bears ultimate responsibility. Where AI-generated content appears as evidence, the issue is addressed only to the extent necessary for this governance framework; detailed forensic authentication and chain of custody constitute a separate evidential subject. The term AI is used functionally and does not assume that every form of automation constitutes an artificial-intelligence system within the meaning of a

particular statute. European sources are used as normative and comparative standards, while their direct applicability in the Republic of North Macedonia must be assessed separately.

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1 Introduction

Artificial intelligence is no longer a peripheral technical subject. It is used to search legislation and case-law, categorise documents, transcribe and translate material, detect patterns, assess risk and generate drafts. In the justice system, the same technology can assist with case allocation, anonymisation, deadline management and legal research. Yet when a system affects the assessment of evidence, the profile of a person or the outcome of a dispute, the issue becomes constitutional and Convention-based: who decides, on the basis of which data, with what possibility of verification, and who is responsible when the system is wrong?

The law should not be forced to choose between uncritical acceptance and outright prohibition. What is required is a functional approach that evaluates the particular use, its consequences and the degree of human control. A system used to format a document does not carry the same risk as a system used to assess the credibility of a witness. A search tool with verifiable sources does not carry the same risk as a generative model that invents non-existent precedents. Regulation and professional policy should therefore be risk-based, rather than driven by the technological label alone.



Figure 1 Five layers of legal risk in the use of AI

2 Subject, Method and Research Questions

2.1 Subject and Purpose

The subject of this paper is the legal and professional framework governing the use of AI by lawyers, courts, expert witnesses, prosecution services and other participants in legal proceedings. Its purpose is to establish an applicable model linking fundamental rights, the law of evidence, professional ethics, data protection and organisational governance.

2.2 Methods

The paper employs normative, comparative, functional and case-study methods. The normative method systematises legal duties; the comparative method uses European standards as points of orientation; the functional method evaluates the system's actual role; and the case study tests the practical value of the proposed rules in a dispute involving algorithmic evidence.

2.3 Research Questions

- When is AI an auxiliary tool, and when does it effectively become a hidden decision-maker?
- What information must be available if a party is to challenge an algorithmic result effectively?
- How are legal professional privilege and personal data to be protected when external models are used?
- When can AI-generated content constitute evidence, and how should its authenticity be established?
- How should responsibility be allocated among the provider, the institution and the professional user?
- What minimum rules should law firms and courts adopt?

2.4 Working Hypotheses

Hypothesis	Verification criterion	Practical consequence
AI improves efficiency only where there is human verification	Can the user explain and verify the result?	Without verification, the result should not be used as the basis for a legal conclusion
Higher procedural risk requires greater transparency	How strongly does the result affect a right or an outcome?	Greater impact requires stronger documentation and oversight
The right to challenge requires meaningful information	Can the party test the basis of the result?	Trade secrecy must not wholly neutralise the defence
Professional responsibility cannot be	Who signs the submission or	The signatory must independently verify the

Hypothesis	Verification criterion	Practical consequence
delegated	decision?	content

3 Technical Foundations for Lawyers

3.1 System, Model and Output

An AI system processes input data through a model and produces an output: a classification, recommendation, prediction or content. A model is not the same thing as a database. A database stores and retrieves records; a model derives a pattern. A generative model produces probable text on the basis of statistical relationships, not on the basis of legal consciousness or any guarantee of factual truth.

3.2 Generative Error and False Confidence

The most dangerous error is often not the obvious one, but the confidently expressed false answer. A model may invent a judgment, cite the wrong statutory provision, merge facts from different cases or conceal uncertainty. A legal professional must verify every rule, quotation, deadline, calculation and factual proposition against a primary source.

3.3 Bias and Data Shift

A system may reproduce historical inequality, an incomplete dataset or the mistaken assumption that the past is an adequate model for the future. Even a technically accurate system may be legally unacceptable if it relies upon a prohibited characteristic, produces indirect discrimination or performs unevenly across different groups and languages.

3.4 Explainability, Traceability and Reproducibility

Concept	Question	Minimum legal standard
Explainability	Why was this result produced?	Intelligible principal factors and limitations
Traceability	Which data, version and steps were used?	Logs recording version, time, user and source
Reproducibility	Can the test be repeated?	Preserved input, parameters and environment
Accuracy	What is the error rate?	A metric relevant to the specific use
Robustness	How does the system respond to change or attack?	Testing, monitoring and a shutdown plan

4 Normative Architecture

The legal framework cannot be reduced to a single instrument. It consists of several layers: fundamental rights, procedural law, data protection, professional ethics, contractual and tortious liability, cybersecurity and sector-specific rules. The AI Act provides a horizontal, risk-based framework; the Council of Europe situates AI within the protection of human rights, democracy and the rule of law; procedural law determines admissibility and evidential weight; and professional rules preserve the personal responsibility of the lawyer and the judge.

Normative layer	Protected interest	Key question
Constitution and ECHR	Fair trial, privacy, non-discrimination	Is the use lawful, proportionate and contestable?
AI Act	Safe and trustworthy AI	What is the system's role and risk classification?
Data protection	Control over personal data	What is the legal basis, purpose, retention period and access regime?

Normative layer	Protected interest	Key question
Procedural law	Lawful evidence and equality of arms	Can the result be verified and tested adversarially?
Professional ethics	Independence, confidentiality, diligence	Has the lawyer retained control and confidentiality?
Liability	Compensation and prevention	Who created, controlled, used and signed off the result?

5 The AI Act and the Administration of Justice

5.1 Risk-Based Approach

Regulation (EU) 2024/1689 distinguishes prohibited practices, high-risk systems, systems subject to transparency obligations and other systems. Regulation (EU) 2026/1744 (the Digital Omnibus on AI), which entered into force on 27 July 2026, amended the timetable for the application of parts of the AI Act. High-risk uses listed in Annex III, including certain justice-related systems, are subject to deferred application until 2 December 2027. Classification always depends upon the system's specific purpose and context, and not every form of legal automation is therefore a high-risk system.

5.2 Roles in the Chain

Role	Typical justice-sector situation	Core obligation
Provider	Develops and places the system on the market	Risk management, technical documentation, quality
Deployer	A court or institution uses the system	Use in accordance with purpose, human oversight, logs
Importer or distributor	Places the system on the market	Verification of compliance and documentation
Professional user	Judge, lawyer, expert witness, official	Understanding limitations, verification and responsible use
Affected person	Party, accused person, witness, citizen	Information, protection and an effective opportunity to challenge

5.3 High-Risk Requirements

The following requirements form the core regulatory architecture for high-risk systems, although their specific applicability depends upon the system category and the transitional timetable. For Annex III high-risk uses in the justice sector, this version of the paper takes account of the deferred deadline of 2 December 2027 under Regulation (EU) 2026/1744.

- continuous risk management throughout the system's life cycle;
- relevant and sufficiently representative data;
- technical documentation and logging;
- clear instructions and transparency for the professional user;
- meaningful human oversight;
- appropriate accuracy, robustness and cybersecurity;
- post-market monitoring and incident management.

5.4 Deepfakes and Transparency

Generated or manipulated audiovisual content creates a particular risk for the law of evidence and for public trust. A labelling obligation does not determine authenticity in a particular case, but it does confirm the normative principle that the recipient should be able to know when content has been artificially generated or altered.

6 The Council of Europe and Human Rights

6.1 Framework Convention on Artificial Intelligence

The Council of Europe Framework Convention on Artificial Intelligence and Human Rights, Democracy and the Rule of Law places AI within a public-law framework of safeguards throughout the technology's life cycle. The Republic of North Macedonia signed the Convention on 8 May 2026. Signature increases its normative and reform relevance, but should not be confused with automatic direct applicability in a domestic dispute. For the justice system, the central lesson is that technical efficiency cannot be sufficient justification where adversarial procedure, independence, proportionality or an effective remedy are lost.

6.2 CEPEJ Ethical Principles

Principle	Content	Operational rule
Fundamental rights	Design and use consistent with rights	Impact assessment before use
Non-discrimination	Prevention of reinforced inequality	Testing across relevant groups and languages
Quality and security	Reliable sources and a secure environment	Controlled databases and access management
Transparency and fairness	Intelligible methods and auditability	Documentation, external review and logs
User control	Non-prescriptive system and informed human operator	The user must be able to depart from, halt and explain the system

7 Fair Trial and Algorithmic Assistance

7.1 Independent and Impartial Tribunal

A judge must not merely sign a decision that has in substance been produced by an opaque system. Judicial independence has a cognitive dimension: the decision must be the product of personal consideration of the facts, evidence and law. If an algorithmic output produces the initial assessment, it may generate automation bias and unconsciously constrain the analysis that follows.

7.2 Equality of Arms and Adversarial Procedure

If one party, or the court itself, uses an AI analysis that materially affects the outcome, the opposing party must have sufficient information about its role, data, principal limitations and possible error. Full source code will not always be necessary, but neither is it acceptable for trade secrecy to turn a decisive item of evidence into an unchallengeable black box.

7.3 Reasoned Decision

A reasoned decision cannot be replaced by a percentage, score or automatically generated text. The court must set out the relevant facts, assess evidential weight, answer the material submissions and explain why the algorithmic result is accepted or rejected. AI may assist with structure, but giving reasons remains a personal judicial duty.

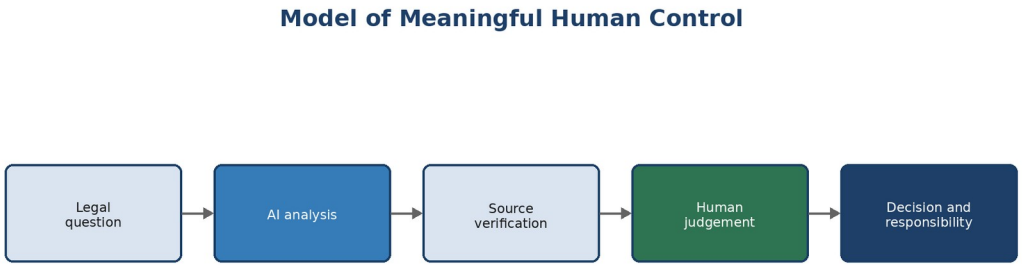


Figure 2 AI is an analytical stage, not the holder of decision-making authority

7.4 Test for Procedural Permissibility

1. Establish the system's precise purpose and actual effect.
2. Identify the legal basis for its use and for the processing of data.
3. Verify the quality, relevance and provenance of the input data.
4. Secure the version, logs, parameters and known limitations.
5. Give the affected party a meaningful opportunity to challenge the result.
6. Require the human decision-maker to carry out an independent assessment and give reasons for the outcome.

8 The Legal Profession and AI

8.1 Independence and Professional Diligence

The domestic Law on Advocacy defines the legal profession as an autonomous and independent public service, while the Code of Ethics requires lawyers not to allow external influence to impair their professional judgment. Functionally, AI is a third party or technical intermediary that must not dictate strategy. The lawyer remains responsible for selecting the legal basis, the truthfulness of factual allegations, compliance with deadlines, the accuracy of citations and the advice given to the client.

8.2 Legal Professional Privilege and Confidentiality

Entering client facts into an external AI service may amount to disclosure of confidential information, the creation of logs and processing in another jurisdiction. Before use, the contractual terms, retention policy, possible use of data for training, place of processing, access by subcontractors and security measures must be examined. Where those matters cannot be established, the material should be anonymised or the system should not be used.

8.3 Verification of Outputs

Type of output	Mandatory verification	Prohibited shortcut
Legal rule	Official current text and transitional provisions	Reliance on the AI answer alone
Judicial decision	Original judgment, case number, date, composition and relevant passage	Invented case or secondary summary
Fact from the case file	Authentic document and precise page reference	Filling gaps by assumption
Calculation	Formula, inputs and independent check	Accepting a number without reproducing the calculation

Type of output	Mandatory verification	Prohibited shortcut
Translation	Professional review of terminology	Treating automatic translation as a certified translation
Draft pleading	Full lawyer review and alignment with the case	Filing without reading

8.4 Informing the Client

A client need not be notified of every routine automation. Notification is justified where the system processes sensitive data, materially affects strategy, creates a particular risk or where the contract requires consent. Consent does not release the lawyer from the duties of diligence and confidentiality.

9 Personal Data and Confidentiality

9.1 Roles and Legal Basis

A law firm will ordinarily determine the purposes and means of processing and therefore bears primary responsibility for the choice of tool. The provider may be a processor, but its role depends upon the contract and upon any purposes of its own. A formal contractual label is not decisive where the actual processing demonstrates a different role.

9.2 Data Minimisation and Pseudonymisation

The safest data is data that is not entered at all. Before material is submitted to an AI system, names, personal identification numbers, addresses, health and financial data and any identifiers that are unnecessary for the task should be removed. Pseudonymisation does not disapply the rules, but it reduces risk. The re-identification key should be kept separately and subject to restricted access.

9.3 Automated Decision-Making

Where a decision produces legal or similarly significant effects, it is necessary to examine specifically whether the decision is based solely on automated processing and, if so, whether a statutory exception and appropriate safeguards exist. A symbolic human signature is not human intervention if the person lacks authority, time, information or a genuine capacity to alter the outcome.

In domestic law, Article 26 of the Law on Personal Data Protection governs the right of an individual not to be subject to a decision based solely on automated processing, including profiling, where the decision produces legal effects or similarly significantly affects that person. The exceptions do not displace the requirement for appropriate safeguards and genuine human intervention.

European case-law reinforces this approach. In *SCHUFA* (C-634/21), the Court of Justice of the European Union treated scoring as automated decision-making where the score plays a determining role. In *Dun & Bradstreet Austria* (C-203/22, 27 February 2025), the Court required the explanation to enable the data subject to understand and challenge the automated decision. These standards are particularly useful as a comparative framework for Article 26 of the Macedonian legislation.

Control question	Yes	No or unknown
Is the input necessary for the specific task?	Proceed with the minimum necessary volume	Do not enter it
Is the use contractually and legally permitted?	Document the legal basis	Stop and conduct a legal assessment
Does the provider use the data for training?	Only with an appropriate legal basis and control	Safer position for confidential material
Is there a defined retention and export period?	Enter it in the register	Seek clarification or use another tool
Can an incident be detected and reported?	Test the procedure	Do not use for a sensitive matter

10 AI Content as Evidence

10.1 Three Distinct Categories

Category	Example	Principal evidential question
AI-generated content	Generated text, image or audio	Who created it, with which tool and for what purpose?
AI-manipulated content	Altered recording or deepfake	Which part was altered, and can the original be reconstructed?
AI analytical output	Score, classification or recommendation	On which data and model is it based, and what is the error rate?

10.2 Authenticity, Integrity and Relevance

Admissibility and evidential weight are not the same. Evidence may formally be admitted but carry little weight because its provenance is unknown, its chain of custody is broken or it cannot be verified. The defence should analyse separately the lawfulness of acquisition, authenticity, integrity, relevance, methodological accuracy and the possibility of adversarial testing.

10.3 Chain of Custody

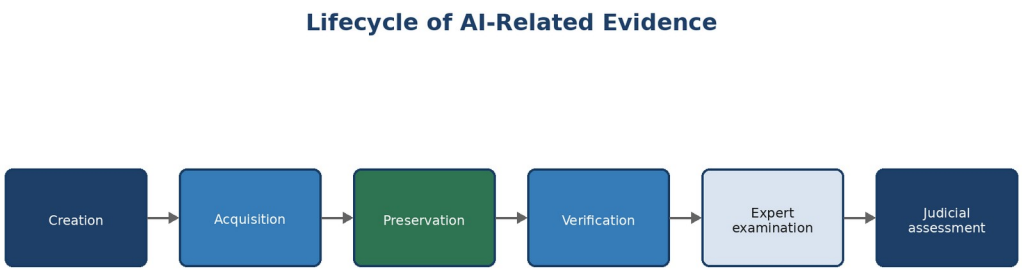


Figure 3 Control points from creation to judicial assessment

- preserve the original medium without conversion;
- calculate and document a cryptographic hash where applicable;
- preserve metadata, time zone and device information;
- record every copy and transformation;
- perform forensic analysis on a working copy;
- secure comparison material and consider alternative explanations.

10.4 Deepfakes and the Burden of Challenge

A bare assertion that a recording might be a deepfake is not enough. The party should identify specific anomalies, a break in provenance or a technical reason for doubt. Yet where the evidence is decisive and there is a genuine risk of manipulation, the court must ensure appropriate verification, while the party relying upon the recording should demonstrate its provenance and integrity.

11 Expert Evidence and Access to the System

11.1 Limits of the Expert's Task

The expert explains the technical operation, data, metrics, limitations and probable sources of error. The expert does not decide whether Article 6 has been violated, whether evidence is admissible or who bears the burden of proof. Legal conclusions remain for the court.

11.2 Minimum Verification Package

Element	What is required	Why it matters
Purpose and version	Exact version, date and configuration	Changes may produce a different result
Input data	Source, period, cleaning and exclusions	Relevance and bias can be assessed
Metrics	Accuracy, false positives and false negatives	Average accuracy may conceal a critical error
Logs	Time, user, input, output and interventions	The particular event can be reconstructed
Validation	Testing in the real population and language	Laboratory performance does not guarantee local accuracy
Human oversight	Who could alter the result?	This shows whether the decision was genuinely human

11.3 Trade Secrets and the Rights of the Defence

Protection of intellectual property and trade secrets is legitimate, but it cannot automatically exclude verification of evidence. Proportionate measures are available: restricted inspection, a confidential annex, access limited to experts and legal representatives, redacted documentation or independent review. The court should choose the measure that least restricts the defence while still protecting the secret.

11.4 Questions for the Expert

- Was the version analysed the same version that was used on the disputed date?
- Which data had the greatest influence on the particular result?
- What is the false-positive rate in the relevant population?
- Would missing or incorrect data alter the outcome?
- Can the result be reproduced using the preserved parameters?
- What alternative technical explanations are consistent with the same result?
- Which human user reviewed the result, and what intervention was possible?

12 Liability for Damage

12.1 Distributed but Not Disappearing Responsibility

AI introduces several actors, but that does not mean responsibility disappears. The provider is responsible for design, documentation and known limitations; the institution for selection, configuration and organisational controls; and the professional user for unreasonable reliance and unverified output. Contracts may allocate economic risk, but they cannot always exclude statutory obligations owed to the affected person.

12.2 Causation

With an algorithmic decision, causation requires reconstruction: which data entered the system, what the model produced, how the human used the result and what final damage followed. If the human had a genuine opportunity to correct the error, that conduct may constitute an independent or contributing

cause. If the system was presented as authoritative and opaque, deficiencies in design and instructions assume greater significance.

Actor	Typical failure	Possible consequence
Provider	Inaccurate documentation or undisclosed systemic defect	Product, contractual or tortious liability
Institution	Poor selection or no impact assessment	Organisational and public-law liability
Lawyer	Unverified citation, breach of confidentiality, missed deadline	Disciplinary, contractual and professional liability
Judge or court administration	Uncritical reliance or undisclosed use	Procedural violation, remedy and state liability
Expert witness	Exceeding the expert field or using a non-reproducible method	Reduced evidential weight and professional liability

13 AI in Different Types of Proceedings

13.1 Civil Proceedings

In civil litigation, AI may assist with disclosure, categorisation of documents, contract analysis and calculations. The principal risk is asymmetry: one party may possess a system and data that the other cannot examine. The court must manage disclosure, expert evidence and the burden of proof so that technical inequality does not become procedural unfairness.

13.2 Criminal Proceedings

Risk is higher in criminal proceedings because of the presumption of innocence, the right to silence and the possibility of deprivation of liberty. Systems used to assess credibility, predict recidivism, recognise faces or profile individuals must not replace individual evidential assessment. The defence must have meaningful information with which to test the model, the data and the error rate.

13.3 Administrative Proceedings

Automation may accelerate mass administration, but every decision affecting a right or benefit must have a legal basis, individual scrutiny and an effective remedy. A particular risk arises where AI ranks beneficiaries, detects alleged fraud or recommends withdrawal of a benefit on the basis of incomplete registers.

13.4 Alternative Dispute Resolution

AI may suggest a settlement range or structure negotiations. The system must not exert concealed pressure, rely upon sensitive characteristics or create the impression that an algorithmic proposal is legally binding. Parties should know that they are interacting with a system and must retain access to a human decision-maker.

14 Office Protocol for Responsible Use

14.1 Classification of Tasks

Level	Examples	Rule
Green	Formatting, proofreading, public information	Permitted with basic verification
Yellow	Summarising or analysing anonymised material	Permitted with source verification and logging
Orange	Strategy, personal data, draft pleading	Approved tool, minimisation and lawyer review required

Level	Examples	Rule
Red	Non-anonymised privileged material, automated decisions, fabricated evidence	Prohibited without a specific legal and security regime

14.2 Procedure Before Use

1. Define the purpose and determine whether AI is necessary.
2. Classify the data and the risk.
3. Check the tool, contract, retention terms and security arrangements.
4. Minimise and pseudonymise the data.
5. Use a prompt that prohibits invention and requires sources and uncertainties to be identified.
6. Verify the output against primary sources.
7. Document any material use and the human decision.

14.3 Use Register

Where AI materially influences advice, a pleading or evidential analysis, the office should preserve a minimum operational provenance record: identification of the tool and version, date and purpose of use, category of data entered, material output, the primary sources used for verification and the person who made the final professional decision.

Date	Matter	Tool and version	Data category	Purpose	Verified by	Outcome
____	____	____	public / internal / confidential	____	____	accepted / amended / rejected
____	____	____	public / internal / confidential	____	____	accepted / amended / rejected

Verification Register

Date	Matter	AI output	Sources	Verification	Verified by	Decision
____	____	____	____	____	____	A / M / R

14.4 Prohibited Office Practices

- entering non-anonymised confidential files into an unapproved public tool;
- citing case-law that has not been checked in the original source;
- automatically sending advice or filing a pleading without lawyer review;
- using AI to create or alter evidence without clear disclosure;
- covert profiling of a client or opposing party on the basis of sensitive data;
- deleting logs where an AI output materially affected the decision.

15 Protocol for Judicial Use

15.1 Permissible Assistance

The lowest-risk uses are administrative: anonymisation, transcription, search and organisation. Risk increases when the system summarises disputed evidence, proposes a legal characterisation or ranks the probability of an outcome. Judicial policy should define in advance the approved tools, permitted data and levels of human oversight.

15.2 Minimum Institutional Safeguards

- a public register of systems and their purposes;
- a fundamental-rights impact assessment before deployment;
- independent testing of accuracy, bias and security;
- training and AI literacy for judges and court staff;
- logging of material use;
- notification to the parties where the output affects the case;
- a procedure for challenge, incident management and shutdown;
- periodic review and the possibility of withdrawing the system.

15.3 Red Lines

Practice	Risk	Position
Fully automated final judgment	Loss of individual and independent judicial assessment	Impermissible
Hidden credibility score	Unchallengeable evidence and bias	Impermissible
Generated reasons without verification	Fabricated facts or law	Impermissible
AI summary of a voluminous case file	Loss of context	Only with verification against the original
AI-assisted legal research	Outdated or invented sources	Only with verified primary sources

16 Hypothetical Case

16.1 Factual Setting

Person A holds an insurance policy for commercial premises. Following a fire, Insurer B rejects a claim for indemnity of MKD 6,800,000. The decision states that the FRAUD-SCORE 4.2 system identified an 87 per cent fraud risk because of the proximity in time between an increase in cover and the loss event, an inconsistency in the description of stock and a digital pattern in communications. An employee confirmed the result in a single sentence. Person A contends that the data are inaccurate, that the model mischaracterised a seasonal purchase and that the refusal was, in substance, automated.

Regulatory characterisation: this hypothetical FRAUD-SCORE used in property insurance is not assumed automatically to be a high-risk system under Annex III of the AI Act. Classification must be assessed according to the precise intended purpose; in particular, the insurance categories in Annex III do not indiscriminately cover every property-insurance model or every form of fraud detection. For that reason, the safeguards in this example derive also from procedural law, contract law and Article 26 of the Law on Personal Data Protection, and not from the AI Act alone.

Item	Hypothetical content
Claimant	Person A, owner of commercial premises
Defendant	Insurer B JSC Skopje
Claim	MKD 6,800,000 plus interest
Key evidence	FRAUD-SCORE 4.2 report with an 87 per cent score
Defendant’s case	The system was merely auxiliary and the final decision was human
Claimant’s case	Inaccurate data, opaque methodology and merely symbolic oversight
Additional dispute	Trade secrecy of the model versus the right to an effective challenge

16.2 Claimant's Theory

The refusal lacks a reliable factual basis. The system used the wrong date for the increase in cover, failed to take account of seasonal purchasing confirmed by invoices, and classified communications with a supplier as an indicator of coordination. The employee neither had access to the factors nor genuine authority to alter the score. The insurer therefore failed to establish fraud or a conscientious individual assessment.

16.3 Defendant's Theory

FRAUD-SCORE does not make the decision; it flags risk. The final decision was made by an authorised employee after reviewing the fire report, invoices and statements. Details of the model constitute a trade secret, but the defendant offers an independent expert examination and redacted documentation. The discrepancies in stock and the timing of the insurance cover are objective circumstances independent of AI.

16.4 Evidential Matrix

Issue in dispute	Claimant's evidence	Defendant's evidence	Control point
Accuracy of data	Policy, invoices, accounts	Input dataset and log	Date, amount and time zone
Genuine human control	Examination of employee	Internal procedure and record	Authority, time and departures from the score
Model accuracy	Alternative expert	Validation report	False positives for the relevant group
Reason for refusal	Decision and correspondence	Complete claim file	Whether the score was determinative
Trade secrecy	Application for protected disclosure	Application for restriction	Least restrictive measure

16.5 Proposed Preservation of Evidence

The claimant seeks preservation of the precise version of the model, its configuration, input data, logs, the report displayed to the employee, documentation of human oversight and all subsequent changes. The request is limited in time and subject matter, with the possibility of confidential portions being supplied under a protective regime.

16.6 Questions for the Employee

- Which documents did you personally read before making the decision?
- Did you see the contribution of each factor, or only the final percentage?
- Were you able to alter the result, and how often had you previously departed from the system?
- How long did your review take?
- Did you verify the seasonal purchase and the incorrect date?
- Who drafted the sentence by which you confirmed the result?

16.7 Questions for the AI Expert

- Can system version 4.2 be reconstructed as it operated on the disputed date?
- What is the false-positive rate among small traders with seasonal stock?
- How does the incorrect date affect the score?
- Is the communications indicator causally related or merely statistically associated?
- Has the system been tested in Macedonian and against local business patterns?
- What explanations were available to the employee?

16.8 Hypothetical Judgment

The court allows the claim in part. It finds that the defendant has not established intentional fraud and that the score was based on at least one inaccurate item of data and one insufficiently contextualised item. The documentation shows that the employee confirmed the result without independent analysis. The court does not conclude that every use of AI is impermissible; rather, it finds that in this particular case the defendant failed to provide a verifiable factual basis and meaningful human oversight. From the indemnity it deducts a separately proven amount relating to stock not covered by the policy.

16.9 Grounds of Appeal

Party	Ground of appeal	Response
Defendant	The court effectively required disclosure of the entire trade secret	Full disclosure was not ordered; proportionate verification was required
Defendant	The score was not evidence but an internal tool	The refusal expressly relied upon the result
Claimant	The indemnity was reduced without basis	The separate item was assessed on independent documentary evidence
Claimant	A data-protection violation should have been established	That issue requires a separate factual and legal basis

17 Recommendations for the Republic of North Macedonia

17.1 National Judicial Policy

1. Establish a public register of AI systems used by justice-sector institutions.
2. Carry out a fundamental-rights impact assessment before deployment.
3. Adopt mandatory rules on human oversight, logging and notification of the parties.
4. Develop standards for AI expert evidence and algorithmic evidence.
5. Provide training for judges, prosecutors, lawyers, expert witnesses and court officials.
6. Introduce independent periodic review and an incident-reporting procedure.

17.2 Bar Association

Specific guidance is needed to apply existing principles of independence, professional diligence and confidentiality in the AI context. The guidance should distinguish administrative, analytical and decision-making uses; require verification of sources; prohibit the entry of confidential data into unapproved systems; and establish a minimum level of AI literacy.

17.3 Judicial Practice

Courts should progressively develop tests for algorithmic evidence: relevance, lawfulness of the data, authenticity, validity of the method, applicability to the relevant population, error rate, human oversight and effective contestability. Judgments should state clearly what role the system played and why its output was accepted or rejected.

18 Conclusion

Artificial intelligence does not alter the fundamental nature of justice: rights are exercised by human beings, evidence is assessed in adversarial proceedings, and decisions must be independent and reasoned. What AI changes is the speed, scale and opacity of information. For precisely that reason, human control is not a formal signature; it is the capacity to understand, verify, reject and explain an output.

Responsible use rests on seven cumulative conditions: a lawful and defined purpose; necessity and proportionality; high-quality and relevant data; traceability and explainability; meaningful human oversight; an effective opportunity to challenge; and clearly allocated responsibility. Where one of those conditions is absent, efficiency alone cannot legitimise the use.

For the legal profession, the most important rule is simple: AI may prepare, compare, structure and warn, but the lawyer must personally verify, choose and answer for the result. For the judiciary, the rule is stricter still: a system may assist in processing information, but judicial authority must not be transferred to a model that the parties cannot meaningfully understand and challenge.

Closing the working hypotheses: within the normative and functional analysis, H1 is supported by the requirement that AI-driven efficiency be accompanied by human verification; H2 by enhanced transparency requirements where procedural risk is higher; H3 by the need for meaningful information and an effective opportunity to challenge; and H4 by the principle that professional and judicial responsibility cannot be delegated to a system. These are analytical, not statistical, confirmations.

Annex 1 Quick Checklist for Lawyers

Control	Yes	No	Note
The purpose is clearly defined	☐	☐	
The tool is approved	☐	☐	
The data have been minimised	☐	☐	
Confidentiality has been checked	☐	☐	
Sources have been verified in the original	☐	☐	
The output has been tested for error and bias	☐	☐	
Material use has been documented	☐	☐	
The lawyer made the final decision	☐	☐	

Annex 2 Quick Checklist for Courts

Question	Result
What precisely is AI's role in the case?	_____
Have the parties been informed?	_____
Which data and version were used?	_____
Is there genuine human oversight?	_____
Can the result be challenged?	_____
Is protected disclosure or expert evidence required?	_____
How has the error rate been assessed?	_____
How is the use explained in the decision?	_____

Annex 3 Model Internal AI Policy

- Scope: all AI and generative tools that process office or client information.
- Policy owner: a designated lawyer or compliance officer.
- Approved tools: list stating permitted purpose, permitted data and review date.

- Prohibited data: legally privileged material and special categories without an approved regime.
- Human verification: mandatory before advice, filing or external communication.
- Incident response: immediate suspension, preservation of logs, assessment, notification and corrective action.
- Training: initial and annual practical AI literacy.
- Review: at least annually and whenever there is a material change in the tool or the law.

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